Unity Credit Cooperative: Member Information Pamphlet

Page 1: Company Background

About Unity Credit Cooperative

Unity Credit Cooperative is dedicated to providing fair and accessible financial assistance to our members. We aim to support personal and business growth through simple, honest, and responsible lending services. Our core belief is in treating every member with respect and providing the tools necessary for financial success.

Our Mission

To provide fair and accessible financial help to our members, supporting their needs through transparent and responsible lending. We are committed to making the borrowing process clear and straightforward, helping members make smart financial decisions while protecting the cooperative's funds.

Our Vision

To be a trusted partner where every member feels financially secure and empowered. By 2030, we aim to be the leading cooperative in our community, recognized for fair practices, low default rates, and the financial success of our members.

Our Goals

- **Responsible Lending:** Providing loans only to members with the ability to repay, keeping defaults below 3%.
- **Timely Collection:** Maintaining a 95% on-time collection rate through clear communication.
- **Member Education:** Teaching members how to manage loans wisely and build good credit habits.

Page 2: Application Form & Process

How to Apply

All members applying for a loan must complete the appropriate application form. These forms are designed to collect necessary information to evaluate creditworthiness and process the loan efficiently.

Types of Application Forms

1. **Personal Loan Form:** For individual needs like medical, education, or home improvement.
2. **Business Loan Form:** For capital, equipment, or business expansion.
3. **Emergency Loan Form:** For urgent, unexpected needs (capped at PHP 10,000).
4. **Salary Loan Form:** For members borrowing against their regular employment income.

Required Information

- **Personal Details:** Name, address, contact info, and valid ID.
- **Income Verification:** Pay slips, business records, or certificates of employment.
- **References:** At least two character references.
- **Purpose:** A clear statement of how the loan will be used.

Processing Timeline

Loan Type	Standard Processing Time
Emergency Loan	1–2 working days
Salary Loan	3–5 working days
Personal Loan	5–7 working days
Business Loan	10–14 working days

Note: A non-refundable application fee of PHP 100 applies to all loans except Emergency Loans.

Page 3: Kinds of Loans

Unity Credit Cooperative offers diverse loan products tailored to your specific needs.

1. Personal Loan

- **Purpose:** Medical, education, travel, home improvement, debt consolidation
- **Amount:** PHP 5,000 – PHP 100,000
- **Interest:** 1.5% per month (diminishing balance)
- **Term:** 6–24 months

2. Business Loan

- **Purpose:** Working capital, equipment purchase, business expansion
- **Amount:** PHP 20,000 – PHP 500,000
- **Interest:** 1.25% per month (diminishing balance)
- **Term:** 12–36 months

3. Emergency Loan

- **Purpose:** Unexpected expenses (medical emergencies, natural disasters, urgent repairs)
- **Amount:** PHP 1,000 – PHP 10,000
- **Interest:** 1% per month (flat rate)
- **Term:** 1–3 months

4. Salary Loan

- **Purpose:** Short-term needs based on regular employment income
- **Amount:** PHP 5,000 – PHP 50,000 (up to 3x monthly salary)
- **Interest:** 1% per month (diminishing balance)
- **Term:** 3–12 months

5. Agricultural Loan

- **Purpose:** Farm inputs, equipment, livestock, post-harvest needs
- **Amount:** PHP 10,000 – PHP 200,000
- **Interest:** 1% per month (diminishing balance)

- **Term:** 6–18 months (aligned with cropping cycle)

6. Microfinance Loan

- **Purpose:** Small business startup or expansion for micro-entrepreneurs
- **Amount:** PHP 2,000 – PHP 30,000
- **Interest:** 1.75% per month (diminishing balance)
- **Term:** 3–12 months

Page 4: Credit Scoring System

We use a fair and transparent scoring system to evaluate loan applications. This ensures that lending decisions are objective and based on your ability to repay.

Scoring Criteria

Factor	Max Points	Description
Payment History	25	Past on-time payments demonstrate reliability.
Income Stability	20	Regular, verifiable income source.
Debt-to-Income Ratio	15	Lower ratio means better ability to repay.
Stability	15	Length of employment or business operation.
Collateral	10	Presence of valuable security.
References	5	Positive feedback from character references.

Score Interpretation & Action

- **85–100 (Very Low Risk):** Approve up to maximum limit; best rates offered.
- **70–84 (Low Risk):** Approve standard loan and rates.
- **55–69 (Moderate Risk):** Approve with conditions or lower amount.
- **40–54 (High Risk):** Requires additional collateral or a co-maker.
- **Below 40 (Very High Risk):** Referred to Credit Committee for further review.

Your Rights

Applicants have the right to know their score and the reasons for any decision. The scoring system is reviewed annually to ensure it remains fair and effective for all members.